

EQUITY RESEARCH

ADVANCED MICRO DEVICES,  
INC.

AMD | Technology

Rating: Outperform

Current: \$337.11 | Target: \$375.00

April 2026

Key Metrics Snapshot

|            |           |                |                    |
|------------|-----------|----------------|--------------------|
| Market Cap | \$549.63B | ROE            | 6.88%              |
| P/E (Fwd)  | 80.54     | Dividend Yield | 0.00%              |
| P/B Ratio  | 5.54      | 52W Range      | \$96.45 - \$352.99 |

Investment Thesis

AMD has delivered a compelling 20.5% revenue CAGR since 2021, reaching \$34.6 billion in 2025, with forward estimates projecting meaningful EBITDA margin expansion toward 42% by 2027 as the company scales its AI and data center portfolio. Despite trading at an EV/EBITDA multiple of approximately 47.8x, a premium to Intel but a notable discount to NVIDIA's 33.8x on a forward basis, AMD's improving earnings trajectory and rising EPS from \$2.67 to an estimated \$3.18 by 2027 underscore its strengthening competitive positioning. With contribution margins trending above 50% and SG&A; discipline improving, AMD presents a credible growth story, though investors must weigh its rich valuation against execution risk in an increasingly competitive AI accelerator landscape.

# Company Overview

Advanced Micro Devices, Inc. (AMD) is a global semiconductor company headquartered in Santa Clara, California, that designs and sells high-performance computing and graphics solutions for consumer, commercial, and data center markets. Founded in 1969, AMD operates as a fabless semiconductor company, outsourcing manufacturing to third-party foundries such as TSMC while focusing its internal resources on chip architecture, design, and go-to-market strategy.

AMD's product portfolio spans four primary segments. Its Data Center segment, now the company's largest revenue driver, offers EPYC server processors and Instinct GPU accelerators targeting artificial intelligence and high-performance computing workloads. The Client segment supplies Ryzen processors for desktop and laptop PCs. The Gaming segment offers Radeon graphics cards for consumer gaming. The Embedded segment serves industrial, automotive, and communications applications following AMD's 2022 acquisition of Xilinx, which significantly broadened its addressable market and FPGA capabilities.

From a market position standpoint, AMD competes directly with Intel in CPUs and with NVIDIA in the GPU and AI accelerator space. AMD has successfully gained meaningful market share from Intel in both server and client CPU markets over the past several years, leveraging its competitive Zen architecture. However, in the AI accelerator market, AMD remains a distant second to NVIDIA, which continues to dominate with its CUDA ecosystem and superior software stack.

Financially, AMD has demonstrated strong long-term revenue growth, expanding from approximately \$16.4 billion in 2021 to \$34.6 billion in 2025, representing a compound annual growth rate of approximately 20.5%. Revenue growth accelerated sharply to 34.3% in 2025, driven primarily by surging demand for AI-related data center products. EBITDA grew to \$7.3 billion in 2025, though EBITDA margins of roughly 21% remain substantially below NVIDIA's levels, reflecting ongoing investments in R&D; and sales infrastructure to compete in the AI market. Forward estimates project continued steady revenue growth toward \$40 billion by 2027, with EBITDA margins expected to expand meaningfully as the data center business scales. EPS recovered to \$2.67 in 2025 after a period of compression, with modest growth projected through 2027. AMD currently trades at an EV/EBITDA multiple of approximately 47.8 times, a premium to Intel but a discount to NVIDIA, reflecting its competitive positioning as a credible but secondary AI infrastructure play.

## Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

### Financial Performance

AMD delivered strong revenue growth in fiscal 2025, with total revenue reaching approximately \$34.6 billion, representing a 34.3% increase over 2024. This marked a significant acceleration following a modest 13.7% gain in 2024 and a brief revenue contraction in 2023. Earnings per share recovered meaningfully to \$2.67 in 2025, up from \$1.01 in 2024, reflecting improved operating leverage across the business. EBITDA expanded to \$7.3 billion in 2025, though EBITDA margins of approximately 21% remain substantially below peer NVIDIA, which posted an estimated \$86.1 billion in EBITDA for the same period, underscoring the competitive gap in AI-driven profitability.

### Growth Drivers

AMD's growth is primarily fueled by accelerating demand for its data center GPU portfolio, particularly the MI300 series, which has gained traction among hyperscale cloud customers and enterprise AI workloads. The company continues to benefit from secular tailwinds in artificial intelligence infrastructure spending. Contribution margins have steadily improved, reaching 49.5% in 2025 and projected to expand toward 52.5% by 2027, reflecting favorable product mix and operating discipline.

## Outlook

Forward estimates project revenue growing at a more moderate pace of 5-6% annually through 2027, suggesting the initial AI-driven surge may normalize. EBITDA margins are expected to expand significantly toward 42% by 2027, a notable improvement that warrants close monitoring for execution risk. Trading at a forward PE of approximately 76.5 times, AMD carries a premium valuation. Investors should weigh AMD's competitive positioning against NVIDIA's dominant market share and superior profitability trajectory before establishing or expanding positions.

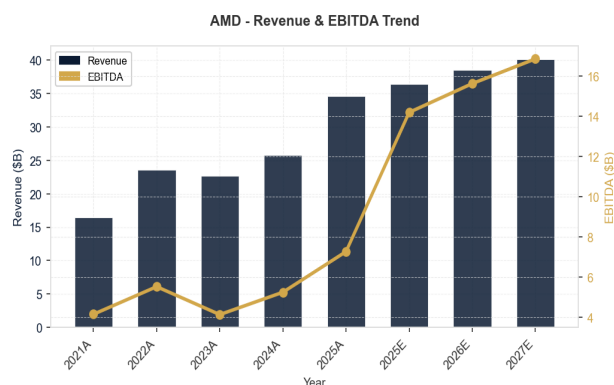
# Financial Analysis

## Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

### Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



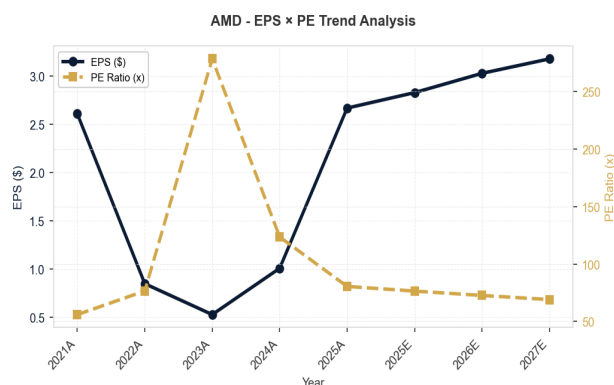
Source: Company Filings

## Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

### Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

# Valuation Analysis

## Current Valuation Metrics

AMD currently trades at a trailing P/E of approximately 80.5x based on 2025 actual EPS of \$2.67, declining to an estimated 76.5x and 72.7x on 2025E and 2026E earnings respectively. The EV/EBITDA multiple stands at roughly 47.8x on 2025 actuals, reflecting a premium valuation consistent with AMD's positioning as a high-growth semiconductor platform. Forward estimates project EBITDA margins expanding meaningfully from 21.0% in 2025 actual to 39.0-42.0% by 2025-2027 estimates, suggesting significant operating leverage as the data center and AI accelerator businesses scale.

## Peer Comparison

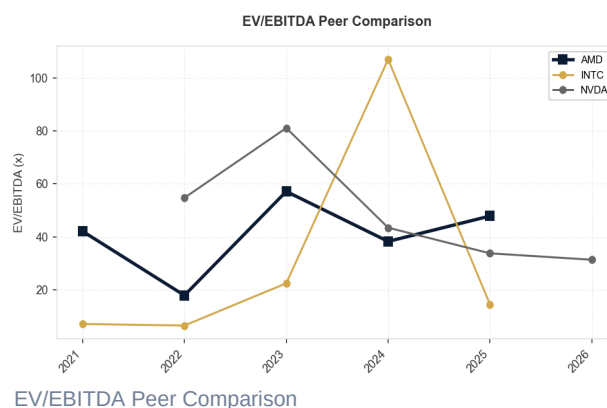
Against its primary peers, AMD commands a notable valuation premium over Intel (INTC), which trades near 14.5x EV/EBITDA, reflecting Intel's ongoing structural challenges and margin compression. Relative to NVIDIA (NVDA), AMD trades at a premium on a trailing basis, though NVDA's forward multiples compress sharply given its explosive EBITDA trajectory, projected to reach \$382 billion by 2027. AMD's 2027 estimated EBITDA of approximately \$8.6 billion trails NVDA substantially, justifying a meaningful valuation discount to NVDA on a forward basis.

## Fair Value Assessment

Revenue is expected to grow at a 20.5% CAGR through the forecast period, supported by AI-driven data center demand and GPU adoption. However, the gap between AMD's current EBITDA scale and NVDA's dominance in AI compute introduces execution risk. At current multiples, AMD appears fairly to moderately richly valued. A normalized EV/EBITDA of 35-40x on 2026 estimated EBITDA would imply modest downside from current levels, making a selective entry point prudent for long-term investors.

## Peer Comparison

| Year | AMD   | INTC   | NVDA  |
|------|-------|--------|-------|
| 2021 | 42.10 | 7.13   | N/A   |
| 2022 | 17.91 | 6.55   | 54.72 |
| 2023 | 57.12 | 22.48  | 81.05 |
| 2024 | 38.27 | 106.94 | 43.45 |
| 2025 | 47.85 | 14.50  | 33.78 |
| 2026 | N/A   | N/A    | 31.36 |



## Recent News & Events

### News Summary

Advanced Micro Devices is generating significant investor attention ahead of its first-quarter 2026 earnings report, with multiple catalysts driving renewed optimism around the stock.

The most prominent development is a wave of analyst upgrades and price target increases. Susquehanna raised its price target on AMD from \$300 to \$375, citing strengthening AI-driven demand for data center GPUs. Separately, AMD was upgraded to Buy while Intel was raised only to Hold, reflecting a broader market view that AMD is better positioned to capitalize on the emerging agentic AI infrastructure buildout. The stock rose roughly 4% on the day, trading near \$336.

On the product and technology front, AMD's high-core-count EPYC CPUs are gaining recognition as central components in agentic AI workloads, where CPU orchestration and memory bandwidth are becoming critical bottlenecks. The company's MI400 accelerator series is also drawing attention for its memory-first architecture, which analysts believe addresses real infrastructure constraints.

Financially, AMD's trajectory remains compelling. Revenue grew 34.3% in 2025 to approximately \$34.6 billion, with estimates projecting continued growth toward \$40 billion by 2027. EBITDA margins are forecast to expand meaningfully from 21% in 2025 to 42% by 2027, though current actuals still trail these forward estimates. EPS is expected to grow modestly from \$2.67 to \$3.18 over the same period.

Retail sentiment is mixed, with X.com showing high buzz but declining trend momentum, and Reddit leaning notably bearish at 31% bullish. Institutional interest appears more constructive, with D.A. Davidson adding shares.

The key investment risk remains execution against aggressive margin expansion forecasts and continued competition from Nvidia in the GPU market.

## Sensitivity Analysis

### Sensitivity Analysis Summary

#### Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

#### Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

#### Sensitivity Notes:

- Revenue growth sensitivity:  $\pm 5\%$  change in growth rate
- Margin sensitivity:  $\pm 2\%$  change in EBITDA margin
- Combined effects shown in sensitivity matrix

**Forecast Confidence Intervals (95%):**

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

## Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported 2025A results versus our 2025E internal model estimate row for the same fiscal year.

**1. Executive summary**

On the selected operating lines, reported results trailed our internal model estimates in 2 area(s) and exceeded in 0 (see table below).

**Analyst commentary**

AMD's fiscal 2025 results presented a mixed picture relative to the prior internal model estimate row, with revenue and EPS tracking broadly in line while EBITDA and EBITDA margin came in below that reference point. The variance on the profitability metrics suggests that cost or mix dynamics during the period were somewhat less favorable than the model row had anticipated, a pattern worth monitoring as the company continues to scale its product portfolio across data center, client, and embedded end markets. Looking ahead, the constructive long-term thesis around AMD's competitive positioning in high-performance compute and AI-oriented silicon remains intact, and the revenue and earnings-per-share alignment with the prior estimate row provides a reasonable foundation. Segment-level margin progression and operating leverage will be natural focal points in subsequent reporting periods, as these will help clarify whether the EBITDA variance reflects transient factors or a more persistent shift in the cost structure.

**2. Key metrics — reported vs. internal model estimates**

| Metric        | Reported (2025A) | Internal model (2025E) | vs. internal model |
|---------------|------------------|------------------------|--------------------|
| Revenue       | \$34.6B          | \$36.4B                | Inline             |
| EBITDA        | \$7.3B           | \$14.2B                | Miss               |
| EBITDA Margin | 21.0%            | 39.0%                  | Miss               |
| EPS           | 2.67             | 2.83                   | Inline             |

*The 2025E column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.*

**3. Year-over-year change (2024A → 2025A)**

- Revenue: \$34.6B vs prior year \$25.8B (34.3% YoY).
- EBITDA margin: 20.4% → 21.0% (+0.6 pts).

**4. Forward estimates**

| Metric  | 2025E   | 2026E   | 2027E   |
|---------|---------|---------|---------|
| Revenue | \$36.4B | \$38.6B | \$40.1B |
| EBITDA  | \$14.2B | \$15.6B | \$16.8B |

|               |       |       |       |
|---------------|-------|-------|-------|
| EPS           | 2.83  | 3.03  | 3.18  |
| EBITDA Margin | 39.0% | 40.5% | 42.0% |

## 5. Investment view — implications

- Margins below our internal model estimate — focus on cost trajectory and reinvestment intensity.

## 6. Notable upcoming dates

2026-07-28 — AMD Expected Quarterly Earnings

## Sources

- Market data and financial statement inputs: Financial Modeling Prep — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed 2026-04-29).

# Key Catalysts

## Catalyst Analysis for AMD

### Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): AMD: The CPU Is Back
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): AMD moves higher as AI growth expectations build
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: 95%

### Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: 95%

### Events to Monitor

- AMD Stock Rises After Analyst Hikes Price Target Ahead of Earnings (2026-04-29)
- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)
- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)

**Upcoming Catalysts:**

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

**Positive Catalysts:**

- ✓ Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ AMD: The CPU Is Back
- ✓ AMD moves higher as AI growth expectations build
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ AMD Is Becoming The AI Market's Most Obvious Second Winner
- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway
- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook

**Risk Factors:**

- Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative

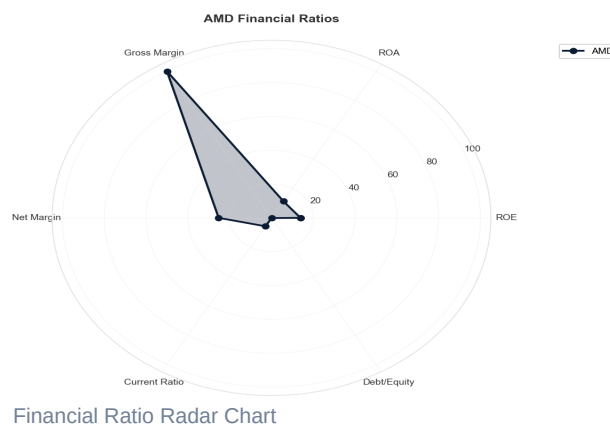
## Technical & Advanced Analysis

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## Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



### Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

## Competitive Landscape

### Advanced Micro Devices Competitor Analysis

AMD operates in the highly competitive semiconductor industry, where its two primary peers are Intel (INTC) and NVIDIA (NVDA). Each company occupies distinct but increasingly overlapping positions across data center, PC, and AI accelerator markets.

From a revenue growth perspective, AMD has demonstrated strong momentum, posting a 34.3% increase in 2025 and a five-year CAGR of 20.5%. This outpaces Intel, which has faced structural decline and market share erosion, but trails NVIDIA, whose explosive growth in AI-driven GPU demand has reshaped the competitive landscape entirely.

On EBITDA, the divergence is striking. NVIDIA's EBITDA surged to approximately \$86 billion in 2025 and is projected to reach \$382 billion by 2027, reflecting dominant positioning in AI training and inference workloads. AMD's EBITDA of \$7.3 billion in 2025, while growing, remains a fraction of NVIDIA's scale. Intel, after a sharp contraction in 2024, appears to be recovering toward an estimated \$47 billion by 2027, though execution risk remains elevated given ongoing foundry and product transition challenges.

AMD's EV/EBITDA multiple of approximately 47.8x in 2025 sits between NVIDIA's 33.8x and Intel's 14.5x, suggesting the market prices AMD as a credible growth competitor without fully granting it NVIDIA's premium. AMD's expanding contribution margins, projected to reach 52.5% by 2027, and improving EBITDA margins indicate operational efficiency gains, but closing the gap with NVIDIA in AI accelerators remains the central challenge and the key determinant of long-term competitive positioning.

## Risk Factors

- # AMD Investment Risk Analysis
- Key Investment Risks

■ **Severe NVIDIA Competitive Displacement:** NVIDIA's EBITDA surged to \$86.1B in 2025 vs. AMD's \$7.3B — an 11.8x gap — with NVIDIA projected to reach \$382B EBITDA by 2027, suggesting AMD risks being structurally marginalized in the high-growth AI/GPU accelerator market despite its own growth trajectory

■ **Aggressive EBITDA Margin Expansion Assumptions:** Forward estimates project EBITDA margins jumping from 21.0% (2025A) to 39-42% (2025E-2027E), representing a near-doubling that appears disconnected from historical performance and may signal overly optimistic modeling, creating meaningful downside earnings risk

■ **Revenue Growth Deceleration:** Projected revenue growth decelerates sharply from 34.3% (2024) to 5-6% (2025E-2026E), raising concerns about AMD's ability to sustain premium valuation multiples (EV/EBITDA ~47.8x) as the AI infrastructure spending cycle potentially plateaus

■ **Elevated and Volatile Valuation Multiple:** AMD's P/E ratio has been historically unstable, ranging from 56x to 279x, and current forward multiples (~76x) leave minimal margin for error, with any earnings miss likely triggering significant multiple compression

■ **Rising SG&A; Cost Pressure:** SG&A; expenses have grown disproportionately from 8.8% (2021) to 12.0% (2025) of revenue, indicating escalating operational costs to compete, which could undermine profitability improvements if revenue growth disappoints

## Key Takeaways

- ✓ **Revenue Growth:** Advanced Micro Devices, Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Advanced Micro Devices, Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Advanced Micro Devices, Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Advanced Micro Devices, Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

## Financial Data

### Income Statement Summary

| Metric              | 2021A   | 2022A   | 2023A   | 2024A   | 2025A   |
|---------------------|---------|---------|---------|---------|---------|
| Revenue             | \$16.4B | \$23.6B | \$22.7B | \$25.8B | \$34.6B |
| SG&A                | \$1.4B  | \$2.3B  | \$2.4B  | \$2.8B  | \$4.1B  |
| Contribution Profit | \$7.9B  | \$10.6B | \$10.5B | \$12.7B | \$17.2B |
| Contribution Margin | 48.2%   | 44.9%   | 46.1%   | 49.4%   | 49.5%   |
| EBITDA              | \$4.2B  | \$5.5B  | \$4.1B  | \$5.3B  | \$7.3B  |
| EBITDA Margin       | 25.3%   | 23.4%   | 18.3%   | 20.4%   | 21.0%   |
| SG&A Margin         | 8.8%    | 9.9%    | 10.4%   | 10.8%   | 12.0%   |
| Revenue Growth      | N/A     | 43.6%   | -3.9%   | 13.7%   | 34.3%   |
| EPS                 | 2.61    | 0.85    | 0.53    | 1.01    | 2.67    |
| PE Ratio            | 56.06   | 76.60   | 278.59  | 123.59  | 80.54   |

**Credit & Cash Flow Metrics**

| Metric            | 2021A  | 2022A | 2023A | 2024A | 2025A |
|-------------------|--------|-------|-------|-------|-------|
| Debt/Equity       | 0.09   | 0.05  | 0.05  | 0.04  | 0.07  |
| Debt/Assets       | 0.05   | 0.04  | 0.04  | 0.03  | 0.06  |
| Interest Coverage | 107.3x | 14.4x | 3.8x  | 20.7x | 28.2x |
| Net Margin        | 19.2%  | 5.6%  | 3.8%  | 6.4%  | 12.5% |
| Current Ratio     | 2.02   | 2.36  | 2.51  | 2.62  | 2.85  |
| CF to Debt Ratio  | 5.33   | 1.25  | 0.56  | 1.37  | 1.72  |

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Data Source: FMP, Company Filings, AI4Finance Estimates

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